

Regarding your second point, I would like to say that the increased investment will help to upgrade technology, and strengthen infrastructural facilities in the growth areas of the potential textiles. Besides, it will provide a fillip to the garmenting, technical textiles and processing segments of the textiles industry, which have a great potential for value addition and employment generation. We are confident that the industry will attract an investment of Rs 1,56,000 crore by 2012 and generate 17.37 million jobs, direct and indirect, by 2012.

Where does the Indian textile industry find itself on the global map? What are we doing to improve our prospects?

The Indian Textiles Industry is at a cross-road. Merchandise export, particularly textiles, witnessed only a gradual growth during a major part of 2007-08. Besides historical factors, the main contributory factors were the appreciation of the Indian rupee against the dollar and the slowdown of the US economy. The government took steps in to provide a fillip to the textiles industry, including exports. As a part of a short term strategy, the government enhanced the Duty Entitlement Pass Book (DEPB) and Duty Drawback Rates, exempted service tax on 12 services, reduced interest rates on pre-and post shipment credit and facilitated faster clearance of arrears of terminal excise duties and Central Sales Tax.

As a part of the medium-term strategy, we decided to continue with the Technology Upgradation Fund Scheme (TUFS), Scheme for Integrated Textiles Parks (SITP) and the Technology Mission on Cotton (TMC). In the long run, the government feels that there is a need for improvement in the infrastructure, labour law reforms, and a new business orientation by the industry in line with global trends. The current year has seen a sharp improvement in Indian merchandise exports, and growth has surged much faster than expected, putting an end to the pessimism that reigned in the first half of the last fiscal. The depreciation of the rupee is one of the reasons why exports have picked up. However, we are aware of the adverse impact of economic down turn in USA, EU and other developed countries. This is a challenging situation, and export targets appear to be under pressure. The International market conditions are beyond the control of the Government, and the Government is considering measures to mitigate the problems being faced by our Industry.

The sunrise sector has initiated the Scheme for Integrated Textiles Parks. What is it and how does it help the industry?

The Scheme for Integrated Textiles Parks (SITP) was started in July 2005 by merging two earlier schemes—Apparel Parks for Export Scheme (APES) and Textiles Centre Infrastructure Development Scheme (TCIDS). These schemes were not giving the desired results because these involved a lot of approvals from state governments, which was a time-consuming process. I personally intervened and directed that a new scheme be devised, which will obviate these lengthy procedures. The result was the formulation of SITP. The scheme aims to upgrade infrastructural facilities in potential textiles growth areas.

Forty Integrated Textile Parks are being set up under the SITP. The Palladam Hi-Tech Weaving Park was inaugurated on April 19, 2008 by Shri P. Chidambaram and myself, and the Pochampally Handloom Park was inaugurated on November 16, 2008. These forty parks will provide employment to approx. 9.08 lakh people and annually produce goods worth Rs. 38,155 crore.

Does India still have an advantage over other textile producers in terms of raw materials?

The Indian textiles industry has an inherent advantage in terms of raw material, design inputs and labour. The industry consumes diverse range of textiles fibres/yarns. Recently, we have overtaken the USA to become the second largest producer of cotton in the world. This was due to focused support to farmers provided by the UPA government, which has resulted in an increase in productivity as well as production. Since 2005-06, we are a net exporter of cotton.

The production of manmade fibres and yarns has shown a rising trend during the last four years, to the extent that we are now the fifth largest producer in the world. We are the second largest producer of silk in the world, and quality and productivity is improving. Likewise, we have an adequate production base of high-quality carpet-grade wool, but for finer material, that is apparel-grade

wool, we are completely dependent on imports.

We are the largest producer of jute and the second largest exporter of jute goods. The government announced the first National Jute Policy in April, 2005, and as envisaged in the National Jute Policy, the Jute Technology Mission, at an estimated cost of Rs. 355.55 crore, was launched in February 2007. We propose to set up 10 jute parks by 2012, of which four parks have already been short listed, three in West Bengal and one in Rajasthan.

What are technical textiles and does it form a part of our growth plan?

Technical textiles are materials and products used for their technical performance and functional properties. These products have a presence in major areas of activity such as, aerospace, shipping, sports, agriculture, defence, medicine/health, manufacturing, etc. Technical textiles are an emerging industry, with a huge potential to attract investment. The global market size of technical textiles which was US \$ 107 billion in 2005 is expected to jump to US \$ 127 billion by 2010. The Indian market size of technical textiles is expected to jump to US\$ 12.46 billion by 2010 from US\$ 6.7 billion in 2005.

Technical textiles are an emerging industry, with a huge potential to attract investment. The government has designed Centres of Excellence (CoE), for agro-tech, build-tech, medi-tech and geo-tech group of technical textiles, at an outlay of Rs 44 crore. We will shortly launch the Rs 600 crore Technology Mission on Technical Textiles and create a Development Council for Technical Textiles.

In a country led by Mahatma's welfare ideals and an industry that has always been the mainstay for rural India what has been planned for the welfare of the artisans, weavers and shepherds?

The Government is committed to provide welfare inputs to artisans, weavers and shepherds mainly engaged in decentralised sector like handicrafts, handlooms and wool sectors. We had launched the Health Insurance Scheme and Mahatma Gandhi Bunkar Bima Yojana in handlooms to enable weaver's access to best health care facilities, which includes cashless OPD facilities in designated hospitals throughout the country. In handicrafts, the Rajiv Gandhi Shilpi Swasthaya Bima Yojana was launched in 2007 to provide health care services to the artisans' families. During last year 8.82 lakh artisans' family were covered under the Scheme and this year we hope to cover more than 10 lakh artisans' families. Insurance coverage is being provided to shepherds and sheep under the Sheep Breeder and Sheep Insurance Scheme, which was launched in 2007.

What is the long term vision we have for the industry and what is the road map planned?

We have set the following targets to be achieved by 2012:

- Build world-class, state-of-the-art, manufacturing capacities; achieve a dominant global standing in the manufacture and export of textiles and clothing;
- Ensure a growth rate of 16 per cent per annum in value terms, amounting to \$115 billion;
- Secure a seven per cent share in the global textiles trade;
- Equip the textiles industry to withstand the pressures of import penetration, and maintain its dominance in the growing domestic market;
- Enable small and medium enterprises (SMEs) to achieve competitiveness and enable them to face the global scenario with confidence;
- Build four Centres of Excellence to promote R&D and product development in the hitherto unexplored area of technical textiles;
- Establish a 'fashion hub' for the promotion of the fashion industry.

